INDEPENDENT FINANCIAL RESEARCH PROJECT

Financial Performance and Fundamental Analysis of BRAC Bank PLC

A five-year financial statement analysis (FY2021-FY2025), with peer comparisons against The City Bank and Eastern Bank

Independent student research | BBA, BRAC University | November 2026

Based solely on published annual reports. Educational research; not investment advice.

Company overview

A SME-focused bank that owns the country's largest mobile money platform

Founded 2001
Private commercial bank started to serve small and medium enterprises

Loan book: SME 42%, corporate 41%, retail 17%
SME loans of BDT 306 bn are its signature franchise

Owns 51% of bKash
bKash profit +109% in 2025 (BDT 6.6 bn); minorities own about two-thirds of its economic interest

How it earns
Net interest income + securities income + fees/FX/remittance, less costs, provisions and tax

194
branches + 116 sub-branches

2.3 mn
customers (standalone)

10,308
employees

USD 2 bn+
inward remittance, 2025

Peers (standalone assets, BDT mn)
BRAC 1,179,672 | City Bank (1983, 124 branches) 843,341 | Eastern Bank (1992, 85 branches) 761,604

Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021-2025; author's model. Not investment advice.

Research methodology

Primary sources only; every figure traceable and cross-checked

1. Data

- 15 annual reports (5 each: BRAC, City, Eastern Bank), FY2021-FY2025
- Latest restated figures used and logged
- Consolidated and standalone kept separate

2. Analysis

- Banking-specific ratios: NIM, cost-to-income, NPL, provision coverage, CRAR
- Average balances for time series; year-end for peer comparison
- DuPont ROE decomposition

3. Quality control

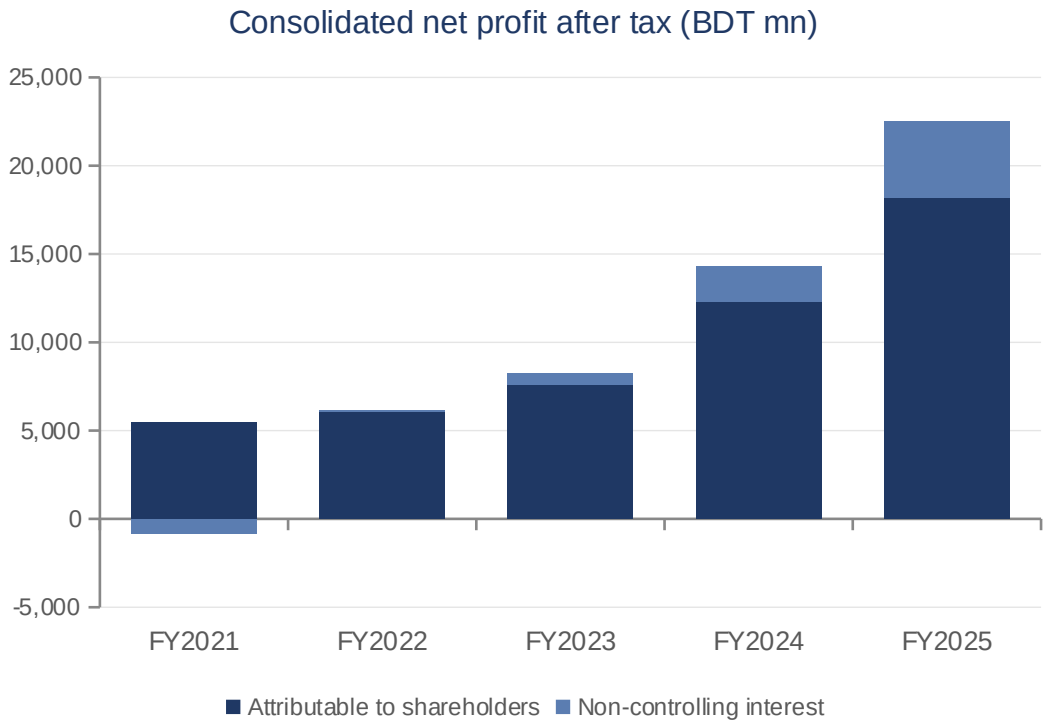
- 1,404-formula Excel model
- Balance, profit and cash-flow checks within BDT 3 mn
- Calculated ratios reproduce reported ones

Limitation: two peers, both strong private banks (EBL report cites a 30.6% industry NPL ratio); thresholds quoted as each bank states them.

Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021-2025; author's model. Not investment advice.

Financial performance

Net profit up 4.8x in four years, but part belongs to minority holders



48.3% a year

Net profit CAGR FY2021-25 (35.0% to shareholders)

BDT 1.33 trn

Total assets FY2025 (25.9% CAGR)

28.4% a year

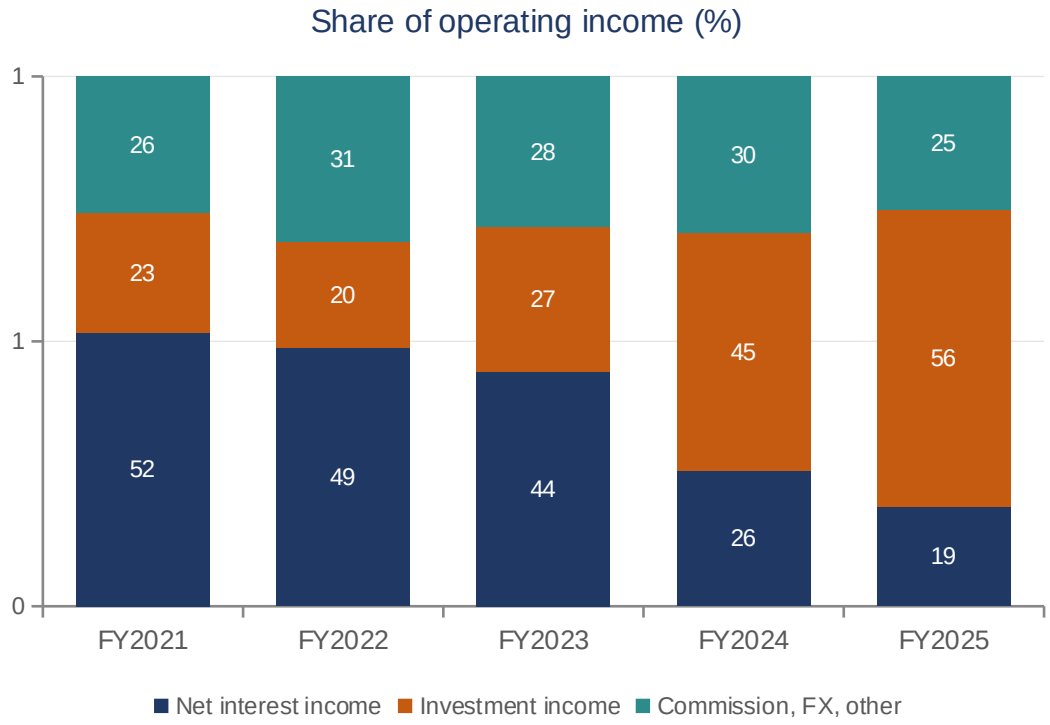
Deposit growth, outpacing loan growth of 22.8%

FY2025 total profit BDT 22,509 mn, of which BDT 4,347 mn (19%) belongs to minorities.

Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021-2025; author's model. Not investment advice.

Profitability analysis

Growth came from securities income, not lending spreads



20.1%
ROE FY2025 (10.2% in FY2022)

1.52%
ROA FY2025

-22%
Net interest income vs FY2023 peak

6.85%
Cost of funds (2.21% in FY2021)

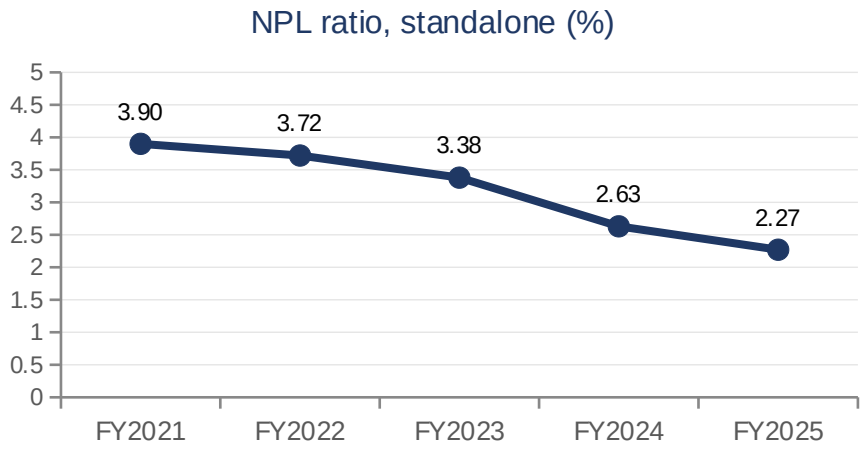
Why it matters

Investment income is now 56% of operating income. If securities yields fall faster than deposit costs, profit growth is at risk.

Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021-2025; author's model. Not investment advice.

Asset quality and risk

Credit quality is improving; margin and market risk are the pressure points



Metric	FY2021	FY2025
Provision coverage	108%	120%
CRAR (standalone)	14.36%	15.63%
CET1 ratio	12.89%	12.16%
LCR / NSFR (FY2025)		292% / 108%

Top risks (author's assessment)

High — **Interest-rate / margin**
Cost of funds 6.85%; 56% of income from securities

Med-High — **Market (bond prices)**
Govt-securities reserve BDT 9.1 bn, up from 0.9 bn

Med-High — **Macroeconomic**
GDP ~4%, inflation 8-9%, election year

Medium — **Credit**
NPL 2.27% but credit cost up to 1.02%

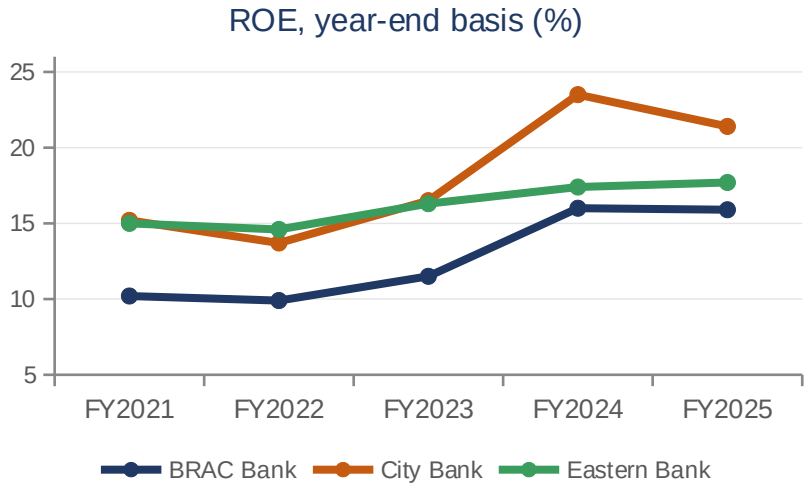
Medium — **Regulatory**
CET1 down 12.89% to 12.16%

Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021-2025; author's model. Not investment advice.

Peer comparison: BRAC Bank, City Bank, Eastern Bank

BRAC leads on scale and growth; City on ROE; EBL on efficiency; capital is level

FY2025, standalone	BRAC	City	EBL
Net profit (BDT mn)	15,809	13,059	9,010
Asset CAGR FY21-25	27.3%	19.3%	18.3%
ROE (year-end)	15.9%	21.4%	17.7%
Cost-to-income	45.0%	43.7%	40.4%
NPL ratio	2.27%	2.50%	2.24%
Provision coverage	120%	127%	161%
CRAR	15.63%	15.74%	15.49%
Tier-1 ratio	12.16%	12.17%	11.86%
Investment income / income	65%	74%	47%
Leverage (assets/equity)	11.83x	13.80x	14.98x
Price-to-book	1.26x	0.61x	0.76x



DuPont: net margins are almost equal (13.1%, 13.1%, 12.9%). ROE differs through asset yield (City highest) and leverage (BRAC lowest, 11.8x vs 13.8x and 15.0x).

Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021-2025; author's model. Not investment advice.

Key findings

1 Profit up 4.8x
Consolidated net profit BDT 4.7 bn to 22.5 bn; 19% of FY2025 profit goes to minority holders.

2 Securities, not lending, drove it
Net interest income fell 22% from its FY2023 peak; investment income is 56% of operating income.

3 Funding costs tripled
Cost of funds 2.21% to 6.85%: the main pressure on lending margins.

4 Asset quality improving
NPL 3.90% to 2.27%, coverage 108% to 120%; classified loans flat in rupee terms.

5 Capital adequate, quality thinner
CRAR 15.63% but CET1 down to 12.16%; NSFR headroom only 8 points.

6 vs City and EBL
BRAC largest and fastest-growing, similar quality. City ROE highest (yield, leverage); EBL most efficient. All lean on securities.

Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021-2025; author's model. Not investment advice.

Recommendations

Analytical recommendations, not investment advice

Monitor (analysts)

- Net interest income and cost of funds each quarter
- Profit to shareholders, not only consolidated profit
- CET1, NSFR and credit cost as early warnings
- Absolute classified loans, not just the NPL ratio

Consider (management)

- Rebuild higher-yield SME and retail lending as credit demand recovers
- Strengthen core (common equity) capital rather than rely on tier-2 bonds
- Lower deposit costs through CASA growth
- Disclose a clear NIM definition

Next research steps

- Add state-owned, Islamic and other private banks
- Use quarterly data to test margin stabilisation
- Analyse interest-rate sensitivity and net open position
- Trace the FY2021 minority-interest jump

Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021-2025; author's model. Not investment advice.

Conclusion

- BRAC Bank delivered exceptional profit growth while strengthening provisions and improving efficiency.
- The surge rests more on securities income and bKash earnings than on lending spreads, which narrowed as funding costs rose.
- Asset quality and liquidity are healthy; core capital quality and long-term funding headroom have thinned.
- Versus City Bank and Eastern Bank: larger, faster-growing and similarly sound. The key question is how profit holds up as securities yields normalise.

Full report and Excel model available on request.